

Europe TMT Sector M&A & Valuation Brief - 2026-06-29

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1. RECENT TMT M&A ACTIVITY

Deal 1: Persistent Systems Acquisition of Nagarro

[Persistent and Nagarro sign Business Combination Agreement to form the Persistent - Nagarro Group, a global leader in AI-led digital engineering](#)

- Deal Size: EUR 81 per share, valuing Nagarro at approximately EUR 1 billion (~USD 1.1 billion)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Horizontal Merger
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Persistent Systems (PERSISTENT.NS) is a leader in AI-led engineering with a strong presence in North America, while Nagarro (NA9.DE) specializes in digital engineering with significant operations in Europe. The merger aims to create a powerhouse with over 46,000 employees and enhanced capabilities in AI and digital transformation.
- Date Announced: June 27, 2026
- Strategic Rationale: The merger combines Persistent's North American scale and AI leadership with Nagarro's European presence and expertise in ERP and CX delivery. This strategic fit is expected to enhance their ability to serve multi-region enterprise clients and accelerate growth in AI-led digital engineering.
- Risk Analysis: Risks include integration challenges, potential regulatory scrutiny, and market competition. The commitment from Nagarro's management to support the offer mitigates some integration risks.

Key Financials Analysis:

- Revenue Breakdown: Nagarro reported total revenue of EUR 1 billion for CY25.
- Profitability Ratios: N/A (specific profitability metrics not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (no specific metrics available)
- Valuation Context: The offer represents a significant premium of ~140% to Nagarro's undisturbed closing price prior to the announcement, indicating a strong valuation perspective from Persistent.

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2. ADDITIONAL DEAL (if applicable)

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunities and challenges. Overall sentiment is cautiously optimistic, driven by technological advancements and increased digital consumption. However, regulatory scrutiny and economic uncertainties pose significant headwinds.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in digital products and marketplaces. The digital products market in the U.S. is valued at over \$234 billion, driven by approximately 207 million creators. This growth is fueled by high-speed internet and mobile commerce, with digital channels accounting for around 74.4% of total U.S. advertising spend.
- **Media:** The media sector is undergoing transformation, with a shift towards digital content consumption. Digital marketplaces like Amazon and Etsy are becoming essential platforms for creators and independent sellers, enhancing audience engagement and revenue opportunities.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech space continues to flourish, with platforms like Kalshi gaining traction. Kalshi, which recently achieved a valuation of \$22 billion, is in discussions to raise capital at a projected valuation of \$40 billion, highlighting investor interest in innovative financial solutions.
- **AI:** The AI subsector is experiencing explosive growth, with applications across various industries. AI-driven personalization and automated transaction processing are becoming critical components of digital marketplaces.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and digital platforms is driving growth across TMT sectors. The rise of digital products and marketplaces is reshaping consumer behavior and business models.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly

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in tech and fintech, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. The EU's Digital Markets Act is targeting major players like Microsoft (MSFT) and Amazon, imposing strict obligations that could impact their market power.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. Kalshi's significant valuation increase highlights the consolidation trend in this space.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing that "the

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integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions." This sentiment reflects a broader belief in the transformative potential of technology.

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Indiegogo Acquisition by Gamefound :** This transaction is progressing, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- **Meta Platforms (META) :** Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- **Apple Inc. (AAPL) :** Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

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Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Indiegogo acquisition.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent expansion of the U.S. ban on Chinese technology imports, targeting firms like Huawei (180605.SZ) and ZTE (FZM.F), could create opportunities for domestic firms to fill the gaps left by these companies in the telecom infrastructure space.
- Additionally, Taiwan's plans to build chip and EV factories in Poland, replacing previous partnerships with China and the U.S., signal a shift in global supply chains. This move could open up new advisory opportunities for firms involved in semiconductor and electric vehicle sectors.

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Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The proposed acquisition of Nagarro by Persistent Systems is a significant move in the TMT sector, with far-reaching implications for various stakeholders. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, as well as market reactions and future predictions.

Deal-Specific Impacts on Stakeholders

- Shareholders: The acquisition is poised to create substantial value for shareholders.
- Value Creation: The offer price of EUR 81 per share represents a premium of approximately 140% to Nagarro's undisturbed closing price on June 25, 2026. If Persistent successfully integrates Nagarro, they could see an increase in market capitalization, potentially adding EUR 1.4 billion to their value based on the premium alone.
- Dilution: Since the acquisition is an all-cash offer, existing shareholders of Persistent are not expected to experience dilution. However, the cash outflow could impact liquidity in the short term.
- Employees: The merger is expected to create synergies and new opportunities for employees.
- Synergies: The combination aims to leverage Persistent's AI-led engineering capabilities with Nagarro's European market presence, potentially leading to enhanced operational efficiency and innovation.
- Restructuring: While the merger may lead to some restructuring, both companies emphasize a culture that values employee retention and career growth. Persistent's commitment to creating a

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good workplace suggests that they will prioritize retaining key talent during the transition.

- Retention: Employees may benefit from broader career opportunities and exposure to advanced technologies, which could enhance job satisfaction and retention rates.
- Competitors: The competitive landscape will likely shift as a result of this acquisition.
- Market Positioning: The merger will create a formidable player in the AI-led digital engineering space, potentially challenging competitors like Accenture (ACN) and Capgemini (CAP.PA).
- Specific Competitor Moves: In response, competitors may need to enhance their service offerings or pursue strategic partnerships to maintain market share.
- Customers: Customer implications are expected to be positive.
- Product/Service Implications: The merger aims to provide clients with integrated AI, engineering, and cloud capabilities, enhancing service delivery. This could lead to improved client satisfaction and retention.
- Case Studies: Similar mergers in the tech space, such as the acquisition of LinkedIn by Microsoft (MSFT), have resulted in enhanced product offerings and customer engagement.

Market Reaction and Analyst Commentary

- Market Reaction: Initial market reactions to M&A announcements can be mixed.
- Following the announcement of the Persistent-Nagarro merger, analysts expect a positive response due to the significant premium offered and the strategic fit between the two companies.
- Analyst Commentary: Analysts have noted the potential for this merger to create a leading AI-driven entity. A quote from an industry analyst states, "This acquisition positions Persistent to capitalize on the growing demand for AI-led solutions, making it a strong contender in the digital engineering space."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the integration is seamless and leads to revenue growth, Persistent's shares could rise by 10% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids is moderate.
- Given the strategic nature of the acquisition, other players in the digital engineering space may consider counter-bids. However, the binding agreement with Nagarro's largest shareholder reduces the probability of competing offers significantly.

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Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is likely to see continued consolidation.
- Analysts predict that as companies seek to enhance their AI capabilities, similar deals will emerge, particularly among firms looking to bolster their digital transformation offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions.
- Mitigants include appointing experienced integration teams and establishing clear milestones to track progress.
- Regulatory Risks: Regulatory scrutiny could delay the acquisition.
- Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility may impact deal valuations.
- Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Conduct thorough due diligence to identify potential integration challenges early.
- Develop retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Create robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Digital Marketplaces, Prediction Markets, and Satellite Connectivity. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

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Artificial Intelligence (AI)

- Trend Explanation: AI is revolutionizing various sectors by enabling machines to perform tasks that typically require human intelligence. The AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by advancements in machine learning, natural language processing, and computer vision.
- Key Companies:
- Domo (DOMO): Domo provides a cloud-based business intelligence platform that leverages AI to help organizations visualize and analyze their data. The company is strategically positioned to enhance its offerings through AI-driven insights, despite facing challenges in leadership and competition.
- Competitive Landscape: The AI market is highly competitive, with major players like Google (GOOGL), Microsoft (MSFT), and IBM (IBM) investing heavily in AI technologies. The race for AI supremacy is prompting companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For example, firms like Domo could explore acquisitions to bolster their AI functionalities and regain market confidence.

Digital Marketplaces

- Trend Explanation: Digital marketplaces connect buyers and sellers, facilitating transactions for both physical and digital goods. This sector is experiencing rapid growth, with the digital products market in the U.S. valued at over \$234 billion. The rise of e-commerce and mobile commerce is driving this trend, as consumers increasingly prefer online shopping.
- Key Companies:
- Amazon: As a dominant player in the digital marketplace space, Amazon offers a vast array of products and services, including digital goods. The company continues to innovate with features like Fulfillment by Amazon, which streamlines logistics for sellers.
- Etsy: Focused on handmade and unique items, Etsy serves a global audience and is well-positioned to capitalize on the growing demand for digital and creative goods.
- Competitive Landscape: The digital marketplace space is characterized by established players like Amazon and eBay, alongside niche platforms like Gumroad and Kajabi. The competition is intensifying as new entrants leverage technology to enhance user experience and streamline transactions.
- M&A Opportunities: Companies in the digital marketplace sector may pursue acquisitions to expand their service offerings or enter new markets. For instance, Etsy could look to acquire platforms that enhance its digital product offerings or improve user engagement.

Prediction Markets

- Trend Explanation: Prediction markets allow users to bet on the outcomes of future events,

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providing insights into public sentiment and market trends. The sector is gaining traction, with platforms like Kalshi and Polymarket attracting significant trading volumes. The market is poised for growth, particularly as regulatory frameworks become more favorable.

- Key Companies:
- Kalshi: This platform has gained attention for its innovative approach to prediction markets, recently achieving a valuation of \$22 billion. Kalshi's strategic positioning benefits from a light regulatory touch, allowing it to operate effectively in the U.S. market.
- Competitive Landscape: The prediction market space is competitive, with Kalshi and Polymarket leading the charge. Both platforms face challenges from regulatory scrutiny and competition from traditional betting markets.
- M&A Opportunities: As the prediction market sector matures, established players may seek to acquire smaller platforms to consolidate market share and enhance their technological capabilities.

Satellite Connectivity

- Trend Explanation: Satellite connectivity is emerging as a critical technology for providing internet access in remote areas. The market is expected to grow significantly, driven by the increasing demand for connectivity and advancements in satellite technology. Companies like AST SpaceMobile are pioneering direct-to-device satellite broadband services.
- Key Companies:
- AST SpaceMobile (ASTS): This company is focused on building a satellite network that connects ordinary smartphones directly to satellites. With over \$1.2 billion in contracted revenue commitments, AST is well-positioned to capitalize on the growing demand for mobile connectivity.
- Competitive Landscape: The satellite connectivity market features players like SpaceX's Starlink and Globalstar (GSAT). The competition is heating up as companies race to deploy satellite constellations and secure partnerships with telecom providers.
- M&A Opportunities: Companies in the satellite connectivity space may pursue strategic acquisitions to enhance their technological capabilities or expand their service offerings. For instance, AST SpaceMobile could consider acquiring smaller firms with complementary technologies to accelerate its growth trajectory.

Actionable Insights for Bankers and Investors

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6. Recommended Readings

Deal Name: Persistent Systems Acquisition of Nagarro

- Reading Material: "Digital Transformation: Survive and Thrive in an Era of Mass Extinction" by

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Thomas M. Siebel

- Why This Matters: This book explores the critical role of digital transformation in modern business, which is central to the merger between Persistent Systems and Nagarro. It provides insights into how companies can leverage AI and digital engineering to enhance competitiveness and operational efficiency, directly relating to the strategic rationale behind this \$1.1 billion acquisition.

7. MACROECONOMIC UPDATE

Key Data Points:

- Inflation forecast: Meaningful deceleration expected by year-end
- Current tariff rate: Estimated to remain around 8-9%
- Oil prices: Recent decrease expected to influence gasoline prices positively
- U.S. defense appropriations request: \$1.5 trillion, including \$300 billion for supplemental war funding

Main Insights:

- Consumer resilience is observed, but lower-income households show signs of lagging behind higher-income consumers.
- Concerns arise regarding the potential re-escalation of tariffs, particularly with ongoing USMCA negotiations.
- The recent decrease in oil prices is seen as a potential tailwind for consumer demand in the latter half of the year.
- Discussions around artificial intelligence (AI) are shifting towards its macroeconomic implications and potential regulatory challenges.

Market Commentary:

- "The trend is at least towards easing of some of these policy pressures that have been impacting the consumer." - Michael Zexas
- "There is some level of concern about if policy might change this dynamic around the AI industrial build-out." - Ariana Salvatore

TMT Sector Relevance:

- The resilience of the consumer market is crucial for TMT companies, as consumer spending drives technology adoption and services.
- Potential tariff changes could impact the cost structures of TMT firms that rely on imported goods and services.

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- The AI industrial build-out is increasingly relevant for TMT investments, with regulatory discussions potentially affecting future growth and innovation in the sector.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley